

Fig. 2: Different testing approaches by the quality labs
 (Courtesy: Granite River Labs)

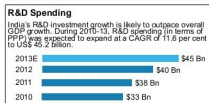


Fig. 3: Expenditures on research and testing
 (Courtesy: India Brand Equity Foundation (IBEF))

tion further adds to production, thus paving a way for the requirement of good, high-end quality labs for testing.

Increasing demand of certification.

If we keep the different aspects aside and look at the certification industry itself, we find that one of the major growth factors for the quality labs is the enforcement of certification. The different schemes by the government, the quality requirements by the consumers and even the industries themselves force manufacturers to get their products certified in order to ensure that they comply with the necessary basic standards. Ankan Mitra, vice-president, SMTA India Chapter explains, "The way this product certification industry works is that, if a company wants to come for manufacturing in India, they would want to

Although the growth of the labs in India is slow currently, plenty of factors have come up in the recent years to bring India at par with the other nations

In one of his interviews, Kapil Sibal, Union Minister of Communications and Information Technology said that, with expansion of 3G and 4G/LTE, the requirement of testing labs in India has increased and the ministry would allow self-certification process going forward. He also added that India, with the manufacturing base market of 1.2 billion individuals, needs testing facility within the country

manufacture and then get it certified here itself, before taking it back to West or before selling it here in India. This is as opposed to manufacturing it in West and then getting it certified here. So taking the whole South East Asia into consideration, certification enforcement acts as the driving force for

this industry."

Growth of other related industries.

Growth of the electronics industry, IT and software industry, and increasing consumer demands, are all leading to the growth of the quality testing labs and universal certification requirements. If we take the example of mobile phones in India, in 2003 this number was about 18 million, which increased to about 853 million in 2014 and is now expected to grow more than double in the coming years. With this type of growth in the consumer segment, their quality and safety requirements are also increasing.

As per a report by Indian Brand Equity Foundation (IBEF), the labs that have been set up in India and authorised by India's Standardisation Testing & Quality Certification Directorate (STQC) are supposed to be well equipped to certify the IT systems that are supplied by local and global vendors as safe to connect to the country's core infrastructure networks. They also reported that the software companies, such as Tech Mahindra and Wipro, have already evinced an interest to set up test labs in India.

Government policies and their effects

As per a newsletter by the government of India, Department of Electronics

and Information Technology (DeitY) and Ministry of Communications and Information Technology, they have come up with a reimbursement scheme for testing and certification required to export electronics goods. The scheme is to support and recognise the micro, small and medium-scale enterprises in the electronic system design and manufacturing (ESDM) sector. Under the scheme, the grant in aid is ₹ 20 million for 800 models (max) while it is ₹ 120,000 (max) for one model.

The National Policy on Electronics aims to create an institutional mechanism for developing and mandating standards and certification for electronic products and services to strengthen nation-wide quality assessment infrastructure.

Although these government policies with respect to quality labs do not affect Indian industry, these help the R&D sector grow. As per Reddy, "UL recently started tests in UL 1703 standards, thus facilitating Indian solar PV panels to test and certify."

IBEF reported that, with respect to the engineering R&D, India is one of the leading offshore destinations in delivering these services with a market share of 22 per cent. The market in India is expected to grow at a compounded annual growth rate of 14 per cent, from \$14.7 billion in FY12 to \$42 billion by 2020, and is also expected to outpace the information technology growth rate in India.

Challenges in India

To our amazement, while there are plenty of growth factors available, we also see a major threat to this industry, as the labs here are not always well versed with the requirement of test facilities and capabilities.

Lack of test facilities. Considering the manufacturing industry for the domestic, industrial and defence electronics products specially, there are no special test facilities or tools. This leads to the wastage of a large amount of time searching, knowing and getting well equipped with the resources needed. Above all, the labs in India are also short of the latest tools available as